

REC Ltd

RECLTD | Unknown

51,490.0

Revenue (■ Cr)

14,885.0

Net Profit (■ Cr)

20.4%

ROE

100.8%

OPM

6.4

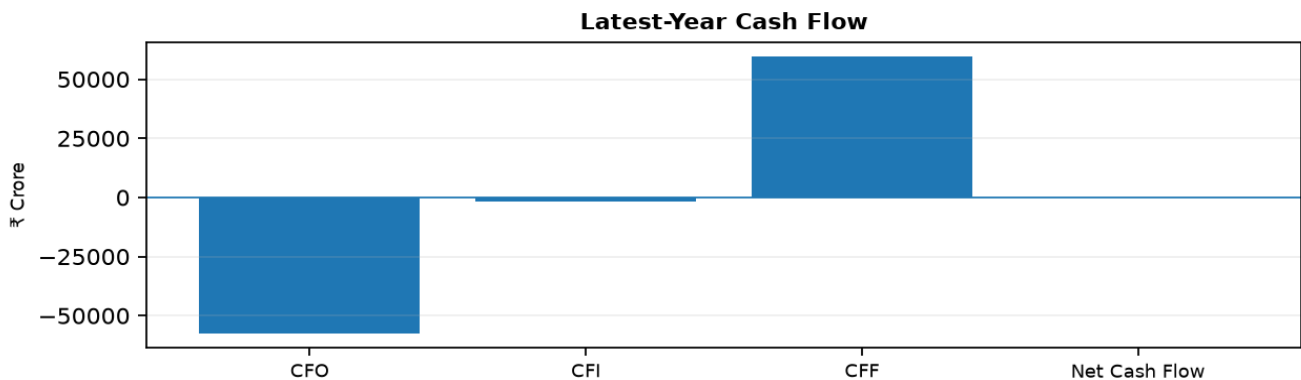
Debt / Equity

-59,554.0

Free Cash Flow (■ Cr)

Financial Performance

Balance Sheet & Cash Flow Intelligence



CAPITAL ALLOCATION: Distress Signal

PROS

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

CONS

- Debt-to-equity ratio of 6.42 is elevated for a non-financial company and warrants monitoring
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality